

DETECTHIDDENFEES.COM

THE CONTRACT DECODER

11 Contract Clauses That Are Costing You Thousands

And Exactly How to Find, Understand & Negotiate
Every One of Them

Presented by DetectHiddenFees.com

Powered by HiddenFeeAI - \$15 AI Document Analysis

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Pro Tip: Upload your contract to <https://hiddenfeeai.com> for \$15 AI analysis - results in minutes, no subscription.

The Scope of Work

This is where vague language creates unlimited financial exposure. When a contract says "standard materials" or "customary installation" or "as needed" - those words mean NOTHING legally. They give the contractor permission to decide what is included, and you pay for whatever they decide.

REAL EXAMPLE

WARNING SIGNS

"Standard materials" - undefined

"As needed" - unlimited scope

"Or similar" - they can downgrade

THE FIX

Every material, product, and finish must be specified by brand, model number, quantity, and price. If it is not in the contract, it is not included. Take the time to fill in every blank space.

The Payment Schedule

How you pay determines your leverage. Contracts that demand 50-70% of the total before work begins leave you financially exposed with no recourse.

REAL NUMBERS

THE FIX

The Change Order Clause

This single clause is responsible for more cost overruns than any other contract provision. Unlimited markups on changes = a blank check.

REAL EXAMPLE

Contractor shall be responsible for all costs incurred in connection with the performance of the work.

THE FIX

DANGER ZONE #4

The Fine Print Appendices

The most dangerous terms are never in the main contract. They are buried in appendices, exhibits, and schedules you never see.

Mandatory arbitration - You give up your right to sue

Limitation of liability - Caps damages even if negligent

Attorney fees clauses - You pay their legal costs

Forum selection - You must sue in THEIR state

DANGER ZONE #5

The Auto-Renewal Trap

A homeowner signed a \$400/month maintenance contract that auto-renewed annually. They missed the 90-day cancellation window by 12 days and were locked in for another year - \$4,800 wasted.

The Fix: Remove auto-renewal. Make it month-to-month with 30 days notice from either party.

11 CONTRACT CLAUSES

DECODED

Real contract language translated into plain English

01: Time is of the Essence" - If YOU delay, you breach. But the other party can delay freely.

02: Force Majeure" - Some define this too broadly, excusing supplier delays and labor shortages.

03: Indemnification" - You could pay their costs even if they were negligent.

04: Limitation of Liability" - Caps damages at contract value regardless of actual harm.

05: Waiver of Consequential Damages" - Cannot recover for lost income or temporary housing.

06: Attorney Fees" - Losing in court means paying their legal bills.

07: Arbitration" - You give up your right to sue, to a jury trial, and to appeal.

08: Governing Law" - May force you to sue in a completely different state.

09: Entire Agreement" - Verbal promises made during the sales pitch are legally meaningless.

10: Assignment" - Your contract can be sold to another company without your consent.

11: Right to Lien" - Protects contractors but can be abused for disputed amounts.

THE 7-STEP CONTRACT AUDIT METHOD

This is the exact process HiddenFeeAI uses to analyze thousands of contracts.

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Step 1: Map the Money

2

Step 2: Trace the Payment Schedule

3

Step 3: Identify Change Order Language

4

Step 4: Read the Fine Print

5

Step 5: Check for Auto-Renewal

6

Step 6: Verify Scope Completeness

7

Step 7: Run It Through AI

NEGOTIATION SCRIPTS THAT WORK

These scripts have been tested across thousands of negotiations.

Script 1: Challenging a Markup

"I noticed the materials are marked up by 35%. The industry standard is 10-15%. Can we find a number that works for both of us?"

Script 2: Fixing a Front-Loaded Payment

"I am comfortable with 25% down, then milestone payments tied to completed work, with 20% held until I sign off."

Script 3: Capping Change Orders

"Please add a cap of 12% on change order markups and require my written approval before work begins."

Script 4: Removing Auto-Renewal

"Remove the auto-renewal clause. Make it month-to-month with 30 days written notice from either party."

REAL CASE STUDIES

Case 1: The \$5,200 HVAC Markup

An Arizona homeowner received a \$14,500 HVAC proposal. AI found 52% equipment markup, \$175/hr labor (\$95 market rate), and a \$950 unexplained fee. Negotiated down to \$10,800.

SAVED: \$3,200

Case 2: The \$2,400 APR Markup

A Texas buyer was offered 8.9% APR. AI found a 2.5% dealer markup (lender approved 6.4%). Over 60 months this added \$2,400 in extra interest.

Case 3: The \$12,000 Renovation Trap

A \$65,000 renovation contract had 35% material markup, auto-renewal maintenance at \$400/month, and unlimited change-order authority.

Case 4: The \$4,200 Medical Bill

An Illinois patient received a \$12,000 ER bill. AI found duplicate CT scan charges, incorrect billing codes, and facility fee padding.

YOUR ACTION PLAN



Get the full scope of work in writing with brand, model, quantity



YOUR RESOURCES

AI Document Analysis: <https://hiddenfeeai.com> - \$15

Hidden Fee Guides: <https://detecthiddenfees.com/hidden-fees-guides.html>

HVAC Fee Investigation: <https://detecthiddenfees.com/hidden-hvac-contractor-fees.html>

Thank you for reading. This guide was created by DetectHiddenFees.com to help consumers understand and negotiate their contracts. Visit <https://hiddenfeeai.com> to analyze your next contract with AI.